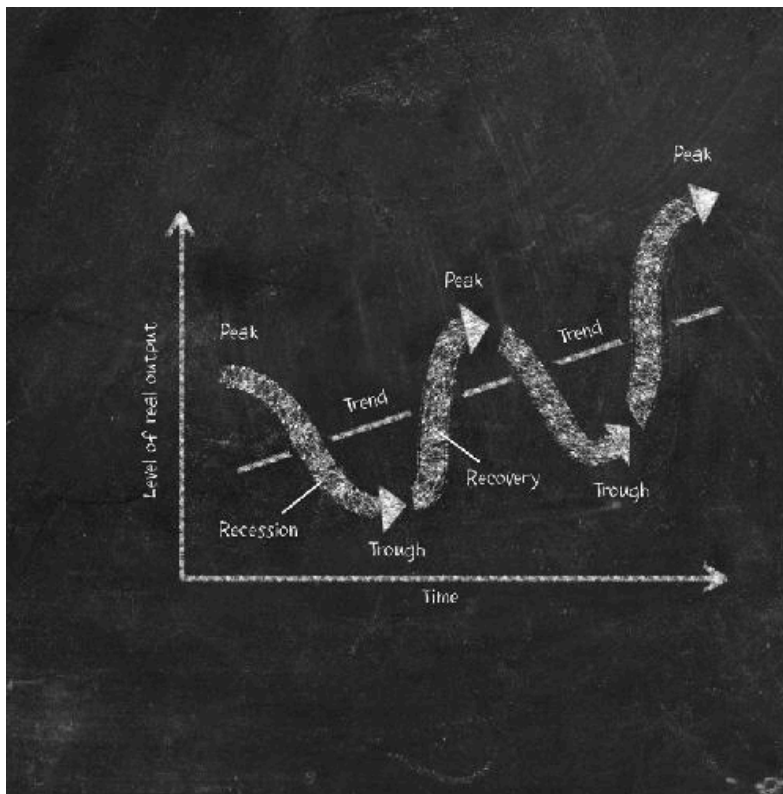


Real Business Cycle theory



Although the performance of an economy can vary markedly over a cycle, average performance over the long-term usually follows a trend of fairly steady growth.

Most economists blame booms and busts on imperfections in markets. The Keynesian explanation is that during downturns, wages are slow to adjust: the economy gets stuck below its potential output with persistent unemployment. But some economists have offered an explanation without invoking such frictions. The Real Business Cycle theory assumes that all markets function perfectly – prices adjust quickly to bring supply in line with demand – and firms and individuals are rational. As a result, the economy always runs at the long-run level of output permitted by available means of production. Cycles then arise because this long-run level changes. Suppose a new technology boosts productivity: output and employment rise in a boom caused by a 'real' feature of the economy. The theory, while

ingenious, can be criticized: technology is a long-run phenomenon, so can it really explain economic cycles that ebb and flow every couple of years? Finally, while technological progress might drive booms, recessions certainly don't seem to be accompanied by technological reversals.